

Quarterly Report for Deer Velvet in Korea – Deer Industry New Zealand

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Innovative Business Support & Promotion

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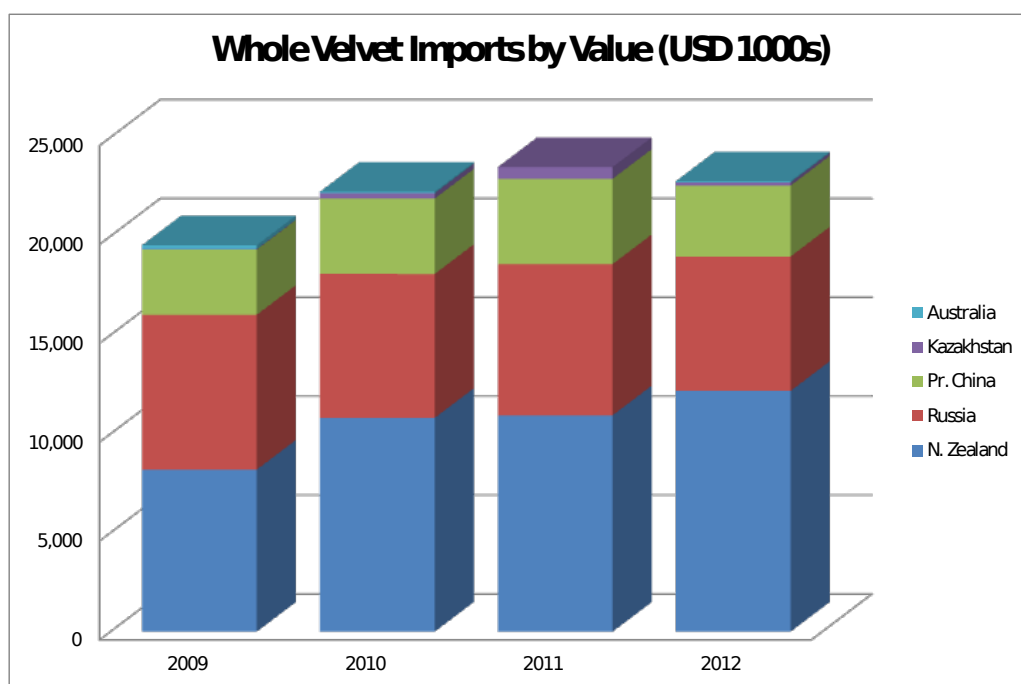
2 Imports

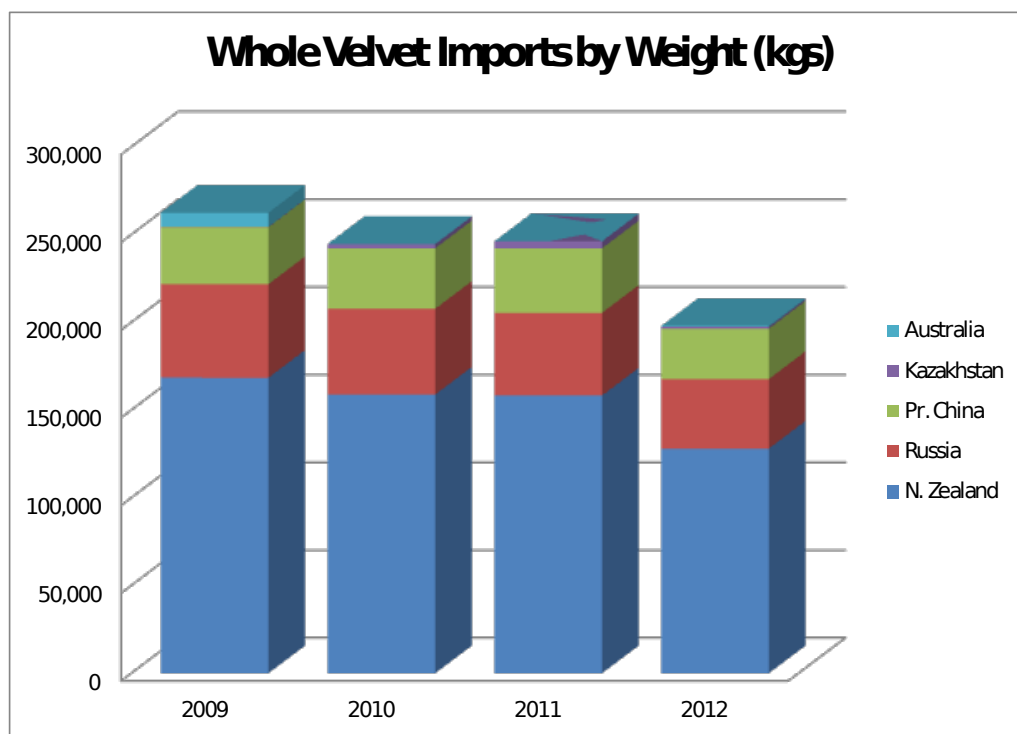
2.1 Velvet Imports

2.1.1 Young Antlers, Whole HS No. 0507.90.1110

Rank	Country	2009			2010			2011			2012		
		Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg
	Total Sum	19,545	262,476		22,247	246,623		23,497	246,188		22,779	197,907	
1	N.Zealand	8,197	168,438	49	10,813	158,875	68	10,946	158,276	69	12,176	128,048	95
2	Russia	7,830	53,318	147	7,281	48,841	149	7,647	47,142	162	6,801	39,615	172
3	Pr.China	3,298	32,471	102	3,811	34,514	110	4,314	36,742	117	3,584	28,731	125
4	Kazakhstan	24	200	120	272	2,393	114	591	4,028	147	165	1,063	155
5	Australia	196	8,049	24	70	2,00	-	-	-	-	54	450	120
	NZ Share (%)	41.94	64.17		48.60	64.42		46.58	64.29		53.45	64.70	

Value = 1000USD, Weight = kg





2.1.2 Young Antlers, Other HS No. 0507.90.1190

Rank	Country	2009			2010			2011			2012		
		Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg
	Total Sum	291	1,835		100	33		88	80		81	77	
1	N.Zealand	251	1,815	138	58	8	7,250	47	36	1,306	52	49	1,061
2	Australia	40	19	2,105	42	25	1,680	40	42	952	29	28	1,036
3	U.S.A	1	-	-	0	-	-	0	1	0	0	-	-
4	Pr.China	0	1	0	-	-	-	0	1	0	-	-	-
	NZ Share (%)	86.25	98.91		58.00	24.24		53.41	45.00		64.20	63.64	

Value = 1000USD, Weight = kg

2.1.3 Hard Antler Imports HS No. 0507.90.1200

Rank	Country	2009			2010			2011			2012		
		Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg
	Total Sum	2,475	225,946		2,219	202,444		2,511	224,058		2,282	189,566	
1	Russia	2,088	190,538	11	2,000	183,000	11	2,508	224,035	11	2,229	185,298	12
2	N.Zealand	123	11,314	11	34	3,420	10	0	3	0	51	4,251	12
3	Australia	0	1	0	63	6,024	10	2	20	100	2	17	118
4	Mongolia	-	-	-	62	5,000	12	-	-	-	-	-	-
5	Argentina	109	9,961	11	60	5,000	12	-	-	-	-	-	-
6	Pr.China	156	14,132	11	-	-	-	-	-	-	-	-	-
	NZ Share(%)	5	5		2	2		0	0		2	2	

Value = 1000USD, Weight = kg

2.2 Quarantine Statistics of Deer Velvet from Major Exporters

2.2.1 Year to date

These include hand-carried velvet by tourists. The countries are not country of origin but export.

COUNTRY	FEB 11 - JAN 12		FEB 12 - JAN 13	
	DRIED VELVET (KG)	RAW VELVET (KG)	DRIED VELVET (KG)	RAW VELVET (KG)
New Zealand	30,717.3	92,045.4	17,376.0	74,416.5
China	60,352.5	11.1	67,198.5	10.3
Russia	30,301.1	-	40,066.3	-
Hong Kong	10,305.1	-	8,137.3	-
Kazakhstan	3,177.3	-	1,063.0	-
Australia	102.0	-	88.5	-
Canada	7.3	-	6.0	-
USA.	33.9	5.5	27.2	-
Singapore	1,025.4	-	0.7	-
Others	6.0	7.1	11.2	0.2
Total	136,027.9	92,069.1	133,974.7	74,427.0
Overall Total	228,097.0		208,401.7	

Source: National Veterinary Research & Quarantine Service 한국수의과학검역원

2.2.2 Full Year

These include hand-carried velvet by tourists. The countries are not country of origin but export.

COUNTRY	JAN 11 - DEC 11		JAN 12 - DEC 12	
	DRIED VELVET (KG)	RAW VELVET (KG)	DRIED VELVET (KG)	RAW VELVET (KG)
New Zealand	27,476.4	99,841.5	20,612.5	66,275.1
China	64,045.7	14.1	65,789.8	10.3
Russia	35,181.6	-	35,922.7	-
Hong Kong	9,560.1	-	9,136.6	-
Kazakhstan	4,029.3	-	1,063.0	-
Australia	101.2	-	93.4	-
USA.	32.9	5.5	31.6	-
Singapore	1,025.4	-	0.7	-
Others	9.7	6.3	19.6	0.8
Total	141,462.3	99,867.4	132,669.9	66,286.2
Overall Total	241,329.7		198,956.1	

Source: National Veterinary Research & Quarantine Service 한국수의과학검역원

2.2.3 Quarantine Fail - Year to Date

The following statistics from the NVRQS give an indication of product that has been rejected on import. While 'banned origin' shows only a small volume it is likely that the 'No COQ' would also reflect product that did not have the appropriate documents from the country of export.

COQ = Certificate of Quarantine (Phytosanitary Certification)

COUNTRY	FEB 11 - JAN 12		FEB 12 - JAN 13	
	DRIED VELVET (KG)	RAW VELVET (KG)	DRIED VELVET (KG)	RAW VELVET (KG)
China	No COQ 121.2 Banned origin 4.4 Drying defect 0.8	No COQ 2.0 Banned origin 8.6 Drying defect 0.4	No COQ 1,470.0 Drying defect 0.5	Banned import 10.3
USA.	No COQ 0.2 Banned origin 33.7	Banned origin 5.5	Banned import 27.2	-
Canada	Banned origin 7.3	-	Banned import 6.0	-
Hong Kong	No COQ 6.6	-	-	-
Japan	Banned origin 1.1	Banned origin 0.2 Drying defect 0.8	-	-
Brazil	-	Banned origin 3.6	-	-
Taiwan	Banned origin 3.3	-	-	-
Spain	-	Banned origin 1.5	-	-
Others	0.2	1.0	0.1	-
Total	178.8	23.7	1,503.8	10.3
Overall Total	202.5		1,514.10	

Source: National Veterinary Research & Quarantine Service 한국수의과학검역원

3 Retail Prices of Deer Velvet to Individual Consumers

3.1 Retail Prices of Dried Deer Velvet to Individual Consumers (Online shopping)

(As of 2013-03)

Prices of Russian dried deer velvet have increased slightly over the past six months. New Zealand and Korean deer velvet prices have remained stable.

Packaging: 2 nyang (75g) retail pack



	New Zealand	Russia	Korea
Bungol (tip)	KRW 107-108,000	KRW 142-150,000	KRW 180,000
Sangdae (upper part)	KRW 80-90,000	KRW 107-108,000	KRW 130,000
Jungdae (middle part)	KRW 62-63,000	KRW 85,000	KRW 110,000

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Source: A number of different Korean online shopping malls and Deer Velvet Specialists

3.2 Fresh Deer Velvet (Local, online shopping)

(As of 2013-03)

Packaging: 5 nyang (200g) retail pack

%A9&NVAR=PL&NVADID=31311460+0DO1003phK9drNC90042

Bungol (tip)	KRW 160-200,000
Sangdae (upper part)	KRW 130-140,000
Jungdae (middle part)	KRW 95-110,000
Hadae (lower part)	KRW 70-100,000



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Source: A number of different Korean online shopping malls and Deer Velvet Specialists

4 Local Deer Industry

4.1 Kwang Dong Pharmaceuticals begin fermented deer velvet research

Kwang Dong Pharmaceuticals has signed an MOU with Jeonbuk University Hospital to enter into research on the effects of fermented deer velvet. They aim to examine its effect on tiredness, blood flow, and help with developing functional products. Until now there has been almost no research carried out in Korea related to fermented deer velvet. The ultimate goal is to have the fermented deer velvet registered with the KFDA as an individually recognised raw material. Human clinical trials will be undertaken and the results written up in a report. Research is funded by the Ministry for Food, Agriculture, Forestry and Fisheries.

Source: Kuki News, 5 December 2012³

4.2 Receiving funding from MIFAFF becomes easier

It's become easier for products such as honey and finished products including deer velvet to receive funding from the Ministry of Food, Agriculture, Forestry and Fisheries. The overall budget for funding has increased 11% from 2012 to 221 billion Korean won in 2013. Regulations for receiving this funding have also

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http://sasum9.com/index.php?pgurl=shop/sh_goods_view&salegdno=205>ype=1&ctpse=AAC

³ <http://health.kukinews.com/article/view.asp?arcid=0006690949&code=46111502>

been relaxed. Those products that have ingredients of foreign origin, but where the main ingredient is of still of Korean origin, will now be able to receive funding.

Source: Livestock News, 12 December 2012⁴

4.3 Korean Oriental Medicine Doctors Emergency Council calls on Hani University to stop taking new OMD students

On the December 8th, the Korean Oriental Medicine Doctors Emergency Council (대한한 의사 비상대책위원회 - KOMDEC) requested that Hani University immediately stop taking new students. This move comes in the wake of the re-defining of 'oriental medicine' as 'natural medicine'. OMDs feel their jobs are no longer secure as oriental medicine can now be prescribed by general doctors and sold at pharmacies. Accordingly, the KOMDEC believes that the active recruitment of new OMD students would be fooling the potential students and create victims. The restriction on the use of modern oriental medicine equipment/apparatus, and the use by general doctors of IMS treatment (acupuncture) have also been cited as reasons.

Source: AKOM News, 14 December 2012⁵

4.4 KFDA Naver advertisement squarely aimed at OMDs

122 OMDs are attempting to sue the KFDA for its advertising on the Korean Naver portal site, stating that the manufacture and sale of oriental sexual enhancement medicines is illegal and they should instead be purchased at pharmacies after receiving a prescription from a doctor. The advertisement ran for a number of days, starting November 23.

Source: AKOM News, 26 December 2012⁶

4.5 Korea Deer Breeders Association to hold international deer velvet event

The Korean Deer Breeders Association (KDBA) is planning to hold an international deer velvet event in 2014. They will receive 800 million Korean won from the Ministry of Food, Agriculture, Forestry and Fisheries and plan to hold an event of similar size to those held in Canada, New Zealand and China in the past. The

⁴ <http://www.chuksannews.co.kr/news/article.html?no=76701>

⁵ http://www.akomnews.com/subpage/search_detail.php?code=A001&uid=80079&page=/subpage/search.php&nowpage=1&search_word=%C7%D1%C0%C7%B4%EB%20%BD%C5%C0%D4%BB%FD&search_key=all&sadop_date=--&eadop_date=--

⁶ http://www.akomnews.com/subpage/search_detail.php?code=A001&uid=80239&page=/subpage/search.php&nowpage=1&search_word=%BD%C4%BE%E0%C3%BB%C0%C7&search_key=all&sadop_date=--&eadop_date=--

Chairman of the KDBA, Yoo-Hwan Jeong, noted that he hoped for the cooperation/collaboration of the China Deer Breeders Association and the China Special Technology Research Center (중국특산기술 연구소) (announcement was made during visit of a representative from the China Deer Breeders Association).

Source: Deer Times, 10 January 2013

4.6 OMDs protest at Seoul Station Plaza

On January 17th, 20,000 OMDs from around the country closed their doors and gathered at Seoul Station Plaza to protest the re-definition of oriental medicine as natural medicine, and to find a solution to the problem.

Source: AKOM News, January 14th 2013⁷

4.7 Size of oriental medicine market

According to the recently published Oriental Medicine Market Research Report (한의학 시장조사 통계집), in 2011 the oriental medicine industry in Korea was worth USD 251 million. Imports to the industry were valued at USD 18 million and exports at USD 6.9 million. Deer antlers constituted 91.7% of imports.

Source: AKOM News, 18 January 2013⁸

4.8 Medical Practitioners Alliance - statement on those who must be careful of health products containing deer velvet and the need to consult a professional

The Medical Practitioners Alliance (참의료실천연합회) has released a statement emphasising the need for caution of health food products containing deer velvet. The following five categories of people are highlighted as needing to be especially careful, and are strongly advised to seek the advice of a professional before consumption.

- 1) Those who suffer from bleeding/haemorrhage related conditions and those who have a history of such conditions. Excessive consumption of deer velvet can lead to side effects such as enterohemorrhage.
- 2) Those with heart or brain related conditions or those who have suffered from such conditions in the past. Deer velvet affects heart and brain function.

⁷ http://www.akomnews.com/subpage/search_detail.php?code=A001&uid=80631&page=/subpage/search.php&nowpage=1&search_word=%C0%FC%B1%B9%20%C7%D1%C0%C7%BB%E7&search_key=all&sadop_date=2004-03-02&eadop_date=2013-01-16

⁸ http://www.akomnews.com/subpage/search_detail.php?code=A001&uid=80807&page=/subpage/search.php&nowpage=1&search_word=%C7%D1%C0%C7%BE%E0%20%BB%EA%BE%E7&search_key=all&sadop_date=-&eadop_date=-

- 3) Those with conditions directly or indirectly related to sexual hormones and those with a history of such a conditions. As deer velvet has a similar effect to sexual hormones, those with these conditions can experience a worsening of their symptoms.
- 4) Pregnant woman and breast feeding mothers. Consumption of deer velvet can affect the unborn child or infant.
- 5) Infants, elderly, those who have recently had surgery etc., those who are in a physically weak condition. These people are more sensitive to the effects and as such have to be more careful.

Source: AKOM News, 7 February 2013⁹

5 Other comments / meeting notes

Other meetings with the likes of C1, Omniherb, KDBA and Life and Gin have been discussed directly with DINZ.

⁹ http://www.akomnews.com/subpage/search_detail.php?code=A001&uid=81212&page=/subpage/search.php&nowpage=1&search_word=%B3%EC%BF%EB&search_key=all&sadop_date=--&eadop_date=--